

Master Operating Manual and Financial Blueprint

The Internal Execution Roadmap: From Day 1 Baseline to £10,000 Cash Target, SeedLegals SEIS EIS Setup, DDP Stock Procurement, and £1.15M Turnover Scale.

EXECUTION PARAMETER	TARGET STATUS
Immediate Operating Milestone	£10,000 Liquid Cash in Bank
SeedLegals SEIS EIS Advance Assurance	£1,300 Fee Allocated
Initial Stock and Framing Procurement	£8,700 Allocation (DDP Terms)
Post Seed Scaled Turnover (Year 1)	£1,152,000 Gross Cash Revenue

Phase 1: Day 1 to £10,000 Cash Target

This manual dictates the step by step operating process to build company liquid cash from current baseline (£2k to £3k per month revenue, working full time, voluntarily VAT registered) up to the £10,000 bank milestone with zero initial payroll.

What the £10,000 Milestone Cash Unlocks:

- **£1,300 SeedLegals Fee:** Pays SeedLegals to prepare and file HMRC Advance Assurance for your £400k raise (£200k SEIS plus £200k EIS).
- **£8,700 Initial Stock and Framing Batch:** Direct DDP procurement of initial 16x12" framed photos, signed gloves, shorts, boots, and shirts.

Zero and Low Inventory Cash Generation Tactics

1. B2B ON DEMAND CONCIERGE (50% UPFRONT DEPOSIT)

Pitch corporate gift buyers, M&A lawyers, CRE brokers, and recruitment directors for deal closing gifts. Require a **50% deposit upfront** upon order placement. That 50% deposit fully covers 100% of your supplier stock and framing cost. Collect the remaining 50% upon delivery with zero inventory holding cost.

2. ZERO RISK CHARITY AUCTION CONSIGNMENT

Supply 3 to 5 signed items to local UK charity galas, school auctions, or corporate golf days. Set a strict wholesale reserve price (e.g. £200). You receive your £200 reserve immediately when sold; unsold items return at zero cost.

3. CUSTOM FRAMING FOR CUSTOMER OWNED ITEMS

Frame items that collectors, amateur football or rugby players, or white collar boxers already own. Charge £120 to £250 per frame. Framing materials cost ~£20. Yields **80%+ pure net margin** with zero inventory risk.

Cash Management and HMRC VAT Rules

RULE OR MECHANISM	EXECUTION GUIDELINE
Voluntary VAT Registration	Collect 20% Output VAT on retail sales. Reclaim 100% Input VAT on all UK business purchases (shipping, packaging, software, tools) on quarterly returns.
The 1/3 Tax Savings Rule	Transfer 1/3 (33.3%) of every gross payment received immediately into your dedicated Tax Savings Pot (1/6th Output VAT plus 1/6th Corporation Tax reserve).
2/3 Operating Allocation	Use the remaining 2/3 (66.7%) for main operating expenses, packaging, and stock replenishment.

Master Year 1 P&L Statement

Targeting 5,340 units shipped across Direct to Consumer e-commerce and B2B concierge sales channels (£1.05M product sales plus £102k P+P income).

FINANCIAL CATEGORY	AMOUNT (£)	% NET SALES
Gross Product Sales	£1,048,000.00	--
Customer P+P Income (£20 × 5,340)	£106,800.00	--
TOTAL GROSS CASH REVENUE	£1,154,800.00	100.0% Gross
Less Output VAT (20% UK Standard Rate)	£192,466.67	16.7%
NET SALES REVENUE	£962,333.33	100.0% Net
Direct Product COGS (China DDP Terms)	£364,551.60	37.9%
Insured DPD Courier Freight (£12 per shipment)	£64,080.00	6.7%
GROSS PROFIT POOL	£533,701.73	55.5% Margin
Logistics Manager (£36k plus NI plus 8% Pension)	£42,093.00	4.4%
Customer Care Admin (£26k Legal Floor plus NI plus 8% Pension)	£29,913.00	3.1%
B2B Sales Specialist (£40k OTE plus NI plus 8% Pension)	£46,965.00	4.9%
B2B Rep Mileage and Travel (55p per mile rate)	£8,000.00	0.8%
Full Staff Benefits Package (Healthcare, Life, Perks)	£5,520.00	0.6%
Luxury Packaging Boxes (£10.00 per box × 5,340)	£53,400.00	5.5%
Studio Rent (£600 per month) and Utilities (£200 per month)	£9,600.00	1.0%
Payment Fees (2%), Deadstock (2%), Refund Reserve (2%)	£58,192.00	6.0%
Software, Insurance, Legal, Signings and Tech Ops	£33,300.00	3.5%
Marketing and Paid Ads (Meta and Google @ 5.0x MER)	£140,000.00	14.5%
NET PRE-TAX PROFIT (EBITDA)	£106,718.73	11.1% Net
Less UK Corporation Tax (25% Rate)	£26,679.68	2.8%
	£80,039.05	8.3% Net

Day 1 Year 2 Balance Sheet and Valuation

Under Option B (Rolling Inventory Buffer Model), the business enters Day 1 of Year 2 with £120,000 in physical signed framed stock on shelves and £395,000 in liquid bank cash.

Company Balance Sheet (Day 1 Year 2)

ASSET CATEGORY	VALUE (£)	OPERATIONAL DESCRIPTION
Main Operating Account	£229,252.07	Liquid trading cash for Year 2 payroll, ads and new athlete signing contracts.
Tax Savings Account Surplus	£165,786.98	Pure surplus tax cash remaining after paying HMRC VAT and Corporation Tax in full.
Physical Signed Stock Asset (At Cost)	£120,000.00	~2,600 pre-framed items ready on shelves (potential retail value ~£300,000).
£515,039.05		

4 Tier Corporate Valuation Profile

VALUATION METHODOLOGY	VALUATION (£)	INDUSTRY CONTEXT AND TARGET BUYER
EBITDA Multiple (5.5x M&A Standard)	£1,417,039.00	Trade buyers valuing 5.5x trailing EBITDA plus £349k cash plus £120k stock.
Premium EBITDA Multiple (7.0x PE)	£1,663,039.00	Private Equity valuation for 55%+ gross margin specialty UK brands.
DTC Net Revenue Multiple (2.0x)	£1,924,666.00	E-Commerce market multiple (2.0x Net Sales Revenue of £962k).
SEIS EIS Post Money Valuation Cap	£2,400,000.00	Angel Investor ASA Cap (£2.0M Pre-Money plus £400k Seed Cash Raise).

HMRC 3 Year Holding Rule Reminder:

Under UK tax law, SEIS EIS investors must hold their shares for at least 36 months to retain their 50% / 30% Income Tax Relief and 0% Capital Gains Tax exemption. Capital is retained in the business to drive Year 2 expansion to £2.15M turnover.